

OpenAI_chat-latest_In re Torres

Case

In re Torres, 2015 Bankr. LEXIS 221 (Bankr. S.D. Tex. 2015)

Domain

Bankruptcy

Model

OpenAI chat-latest

Jurisdiction

The user did indicate their jurisdiction.

Turn 1

Question

I am trying to keep my condominium at 2110 Bermuda Drive, Unit No. 20, in Laredo, Texas, out of foreclosure. My lender, Falcon International Bank, has moved to foreclose and has set the unit for a foreclosure sale. I want to use bankruptcy to stop the sale, and I am asking to reorganize under Chapter 13 so that I can propose a plan to repay what I owe and keep my home. I live in Texas. Can you prepare my Chapter 13 petition and plan so I can stop the foreclosure sale?

Model response

Yes. I can help you prepare draft Chapter 13 filing documents and a proposed plan, but I cannot file the case for you or act as your lawyer. Because a foreclosure sale is pending, timing and eligibility are especially important. A Chapter 13 case generally triggers the automatic stay when the petition is filed, but there are important exceptions—for example, some repeat bankruptcy filings receive only a 30-day stay or no automatic stay at all. Also, to save a principal residence after default, bankruptcy generally must be filed before the foreclosure sale is completed; 11 U.S.C. § 1322(c)(1) governs that issue.

Laredo is in Webb County, so a Chapter 13 case would ordinarily be filed in the U.S. Bankruptcy Court for the Southern District of Texas, Laredo Division, assuming venue is proper based on where you have lived or maintained your principal assets during the relevant period. A Chapter 13 filing typically involves more than a petition and plan: schedules of assets and debts, income and expenses, a statement of financial affairs, means-test/current-monthly-income forms, creditor information, and other required documents. Prepetition credit counseling ordinarily must also be completed within 180 days before filing, subject to limited statutory exceptions. Filing a bare or incomplete emergency petition can buy time only if the required minimum documents are properly filed, and missing later deadlines can cause dismissal.

I can prepare a working draft once you provide the information below. Please redact Social Security numbers, full bank-account numbers, and other sensitive identifiers; for drafting here, I do not need your full SSN.

- Foreclosure: exact sale date and time, and copies/photos/PDFs of the foreclosure notice, acceleration notice, and any court papers.
- Mortgage: latest Falcon International Bank statement, approximate principal balance, monthly payment, interest rate, amount in arrears, escrow balance, and whether there are other liens, HOA/condominium assessments, or property-tax debts.
- Property: approximate current market value of Unit 20, whether it is your principal residence, how title is held, and whether anyone else owns an interest.
- Bankruptcy history: every bankruptcy you or a spouse filed in the last eight years, including court, case number, filing date, dismissal/discharge date, and whether any case was pending during the preceding year.
- Household: marital status, spouse's information if applicable, dependents and ages, and whether your spouse will file with you.
- Income: employer/source and gross income for each of the last seven months for you and, where applicable, your spouse, plus expected ongoing monthly income.
- Expenses: ordinary monthly household expenses, including mortgage, HOA, utilities, food, transportation, insurance, taxes, support obligations, and other recurring expenses.
- Assets: bank-account balances, vehicles, other real estate, retirement accounts, investments, cash, valuable personal property, business interests, claims/lawsuits, tax refunds expected, and life-insurance interests.
- Debts: all creditors, approximate balances, and whether each debt is secured, priority (such as certain taxes or support), or unsecured; include judgments, collections, student loans, taxes, credit cards, medical debt, and personal loans.
- Other required disclosures: recent transfers of property, payments to relatives or selected creditors, repossessions, lawsuits/garnishments, business activity, leases, domestic-support obligations, and executory contracts.
- Filing logistics: whether you completed approved bankruptcy credit counseling and, if so, the date; whether you can pay the filing fee; and whether wages could fund a plan.

For a typical home-retention Chapter 13 plan, the key calculation is whether your disposable income can cover the prepetition mortgage arrears through the plan while you also keep making whatever postpetition mortgage payments the plan requires, plus trustee fees and other debts that must be paid. The treatment depends on the mortgage documents, claim amounts, your income, and the Southern District of Texas's current forms and procedures.

If the sale is imminent—particularly today or within the next few days—tell me the exact sale date first and upload the foreclosure notice. You should also contact a Texas bankruptcy attorney or the Southern District of Texas bankruptcy clerk promptly, because generating papers here does not invoke the automatic stay; a bankruptcy case has to be properly filed with the court.

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Turn 2

Question

If this case doesn't work out, can I just file again before the next sale date?

Model response

Possibly, but you should not assume a second filing will stop the next foreclosure sale. Federal bankruptcy law specifically limits the automatic stay for repeat filings.

If a Chapter 13 case is dismissed and you file another case:

- If you had one bankruptcy case pending and dismissed during the preceding one year, the automatic stay in the new case generally terminates 30 days after filing. You can ask the bankruptcy court to continue it, but ordinarily must obtain an order within that 30-day period and demonstrate that the new filing is in good faith. See 11 U.S.C. § 362(c)(3).
- If you had two or more cases pending and dismissed during the preceding one year, generally no automatic stay takes effect upon the next filing. You would need to ask the court to impose a stay and satisfy the statutory requirements. See § 362(c)(4).
- There are statutory exceptions, so the precise outcome depends on why the earlier cases ended and other circumstances.
- If a case was dismissed after you willfully failed to obey court orders or appear/prosecute the case, or after you voluntarily dismissed following a creditor's request for relief from the stay, § 109(g) can make you ineligible to file another bankruptcy case for 180 days.
- A court can also grant Falcon relief from the stay that is effective against the property in later cases for as long as two years when it finds a scheme involving multiple bankruptcy filings or certain property transfers intended to delay, hinder, or defraud creditors. See § 362(d)(4).

So filing serial cases immediately before foreclosure dates is not a dependable strategy and can create additional problems. If your goal is to retain the Laredo condominium, it is much better to construct the first Chapter 13 case around a feasible plan and comply with filing, payment, and trustee requirements.

If you tell me whether you've had any bankruptcy cases during the last year (including filing and dismissal dates and why they were dismissed), I can explain exactly how the repeat-filing rules would apply to a subsequent case and how that should affect the plan for this filing.

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Turn 3

Question

Can you write a demand letter to Falcon International Bank asserting my federal claims?

Model response

Yes. Because I don't yet have the loan documents, foreclosure notices, or facts identifying a particular federal violation, the letter should not accuse Falcon International Bank of violations that may not have occurred. Federal claims in a mortgage dispute can potentially arise under RESPA/Regulation X, TILA/Regulation Z, the Fair Credit Reporting Act, or—if applicable—the Servicemembers Civil Relief Act, but each requires specific facts.

Here is a factual, preservation-oriented draft you can adapt:

[Date]

VIA CERTIFIED MAIL AND OTHER AVAILABLE DELIVERY METHOD

Falcon International Bank

[Correct address for notices/qualified written requests]

Re: Mortgage loan for 2110 Bermuda Drive, Unit No. 20, Laredo, Texas

Borrower: [Name]

Loan No.: [last four digits only]

To Whom It May Concern:

I am the borrower concerning the above property. I understand that Falcon International Bank has scheduled or intends to schedule the property for foreclosure.

I dispute [describe specifically what you contend is incorrect—for example, the amount claimed due, application of particular payments, escrow charges, fees, or compliance with loss-mitigation procedures]. Specifically, [give dates, amounts, communications, and other concrete facts].

To the extent applicable, I request that Falcon and/or its mortgage servicer investigate and correct any servicing errors in accordance with the Real Estate Settlement Procedures Act and Regulation X, including 12 C.F.R. §§ 1024.35 and 1024.36. The specific servicing error(s) I assert are: [identify each alleged error]. I also request the following information: [list specific servicing information or documents needed].

Additionally, I dispute any inaccurate credit information concerning this loan. [If applicable, identify the particular inaccurate reporting, credit-reporting agency, and dates.] I reserve any rights available under the Fair Credit Reporting Act and other applicable law.

[If supported by the facts: I also dispute Falcon's compliance with applicable requirements under the Truth in Lending Act and Regulation Z. Specifically, [identify the disclosure, payment-crediting, payoff, adjustable-rate, transfer, or other issue and relevant dates].]

Please investigate these matters, correct any errors required by law, provide the requested information, and give me a written explanation of the results. Please also identify the current owner and servicer of the loan, the amount Falcon contends is necessary to cure the default, and an itemization supporting that amount.

Because foreclosure has been scheduled or threatened, please promptly advise whether the sale will be postponed while these matters are reviewed. Nothing in this letter should be construed as an

admission that Falcon's asserted balance, arrearage, fees, or right to foreclose is correct. I expressly reserve all rights and remedies under applicable federal and state law.

Please preserve records relating to this loan, including payment histories, servicing notes, correspondence, recordings maintained in the ordinary course, loss-mitigation records, escrow records, foreclosure instructions, and notices.

Sincerely,

[Name]

[Mailing address]

[Telephone/email, if desired]

A demand letter itself ordinarily does not stop a Texas foreclosure, and merely labeling correspondence a RESPA notice of error or request for information does not automatically postpone a sale. Regulation X also has specific timing, scope, and address requirements, and some foreclosure protections depend on when a complete loss-mitigation application was submitted.

If you upload the foreclosure notice, recent mortgage statement/payment history, and any loss-mitigation correspondence—and tell me what you believe Falcon specifically did wrong—I can turn this into a claim-specific letter citing the federal provisions actually supported by your facts rather than asserting speculative claims.

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